

Since 2003, Hong Kong residential prices have been on an uptrend. It has registered stronger growth at +10.5% compound annual growth rate (CAGR) in the last decade (2006 to 2016) versus the previous decade (1996 to 2006) of -3.7%. It has beaten the inflation rate of +3.2% CAGR and the Hang Seng Index of +1.0% consistently. Apart from low interest rates (close to zero Fed rate) since 2009, a favorable undersupplied market and robust domestic/investment demand have been the key reasons.

From a demographic perspective, new immigrants, non-local students, graduates and employees have been driving the demand for private residential units. In 2015, more than 56,000 people obtained work-related visas. About 30% of the 45,000 Chinese immigrants in 2016 had “one-way permits” to stay in private units. Meanwhile, 15,000 non-local students (the highest ever) enrolled in university programs in 2015/16. Many of these received permanent residency (PR) status after being in Hong Kong for seven years, including their university stay, and do not have to pay additional stamp duty for purchasing a residential unit.

Abundant liquidity and high local investment demand are other driving forces. Investors accounted for 40% of private residential sales in 2011. This ratio reduced to 30% in 2016 after introduction of double stamp duty and buyers stamp duty, and further reduced to around 10% of sales volume after the government raised the double stamp duty rate again in November 2016. Despite the decline in the number of foreigners buying units, we see local home buyers use the loophole to purchase multiple units using single sale and purchase agreements to avoid heavy stamp duty. Hong Kong remains an aspirational place to own property for mainland Chinese.

Hong Kong has been experiencing a shortage of private housing in the past 10 years or so, especially as the number of persons per household is decreasing. Private residential stock has grown at a CAGR of +0.8% in last decade, quite similar to population growth at +0.7% per annum but much lower than +1.1% domestic household growth. Despite the government increasing land supply in the last four years, completions lagged but now the supply of completed units is expected to reach 17,000 to 18,000 in 2017, much higher than the average of 12,000 in the last five years.

